

Rewind to 2005. A record number of Americans were buying homes. On the surface this was great news. After all, owning a home has always been considered the holy grail of personal finance and a major element of the American dream. The housing boom, as it was called, kicked into high gear and the new crop of homeowners—as well as lenders, of course—were thrilled.

At the time, few asked the question: Why are so many people who couldn't buy homes before suddenly *able* to buy? The answer was simple. Beginning in 2001—and peaking in late 2005—lenders started relaxing the guidelines for people who wanted a mortgage, which is a loan you take out to pay for a home. Loaded down with lots of credit card debt? No problem, they said. No steady job or salary to realistically keep up with your future mortgage payments? That was okay too. And it didn't matter how much of a down payment you could make. In 2006 the median down payment made by first-time home buyers was just 2% (in the past, they had to put down closer to 20%). In fact, half of all first-time home buyers that year put down nothing at all.

What were lenders thinking?

Most lenders, of course, knew they were making very risky loans. (After all, one of the biggest jobs of a lender is to assess whether a customer can pay back a loan.) But many figured that they could profit by charging borrowers with less than excellent credit (great credit is known as “prime” credit) interest rates that started out low but would go up after a certain amount of time. These were called **subprime loans**. And when interest rates overall started rising, the interest rates on these subprime mortgages shot up, leaving many new homeowners unable to meet their monthly payments. Still, lenders felt that even if the borrowers had trouble making their payments, they could sell their homes at a profit or borrow against their equity as home prices rose. But house prices plummeted, leaving these overextended buyers with no options.

You can guess what happened next. The details varied, but the bottom line was the same: Literally millions of homeowners, starting in 2007, found themselves unable to afford their monthly mortgage payments and the banks took their homes.

So what does this mean for you?

As lenders, financial markets, the government, and individual homeowners continue to sort through this mess—often called “the subprime